Optimizing Food Delivery Experience in Tier 1 Cities

Zomato Case Study on Improving User Engagement & Retention – Funnel & Cohort Analysis, Ladder Metrics

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1. Introduction

1.1 Background

The food delivery industry has become an essential part of people's daily lives. Customers expect to discover restaurants quickly, place orders without any difficulties, receive their food on time, and enjoy a smooth overall experience. In today's highly competitive market, several food delivery platforms offer similar services. Therefore, providing a seamless customer experience has become one of the most important factors in retaining users and increasing business growth.

Zomato is one of India's leading food delivery platforms, serving millions of customers across different cities. While many users successfully place orders every day, others leave the application without completing their purchase or stop using the platform after a few orders. Understanding where these users drop off and why they fail to return is a critical responsibility for a Product Manager.

Every interaction that a customer has with the application contributes to their overall experience. Even a small issue such as a slow-loading screen, inaccurate restaurant information, payment failure, or delayed delivery can negatively impact customer satisfaction and influence their decision to switch to a competing platform.

This case study focuses on identifying these customer pain points throughout the food delivery journey and proposing practical product improvements that can increase both user engagement and long-term retention.

1.2 Objective of the Assignment

The primary objective of this assignment is to analyze the complete food delivery journey and identify opportunities to improve customer engagement and retention. This is achieved by applying three important Product Management techniques:

- **Funnel Analysis** – to identify where users drop off during the ordering journey and propose improvements that increase conversion.
- **Cohort Analysis** – to understand how different groups of users behave over time, identify retention challenges, and suggest solutions to improve long-term engagement.
- **North Star Metrics and Ladder Metrics** – to define measurable success indicators that help evaluate whether the proposed solutions are achieving the desired business outcomes.

By combining these three approaches, the assignment aims to provide a structured, data-driven strategy for improving the overall customer experience on the Zomato platform.

2. Understanding the User Journey

Before identifying customer problems, it is important to understand how users interact with the food delivery application from the moment they open the app until their food is successfully delivered.

A user journey represents the complete sequence of actions that a customer performs while using a product. Each step in this journey contributes to the overall customer experience. If users encounter difficulties at any stage, they may abandon the process or decide not to return in the future.

The food delivery journey is divided into seven key phases.



Phase 1 – App Open

The customer journey begins when a user launches the Zomato application. This first interaction creates the customer's initial impression of the platform. At this stage, users expect the application to open quickly, load without technical issues, authenticate them successfully, and detect their location accurately.

If the application crashes, loads slowly, or fails during login or location detection, many users may leave immediately without exploring the platform further. Therefore, ensuring a smooth app opening experience is essential for retaining users throughout the rest of the journey.

Phase 2 – Restaurant Discovery

Once users successfully enter the application, they begin searching for restaurants that match their preferences. They may browse restaurants based on cuisine, ratings, delivery time, location, offers, or recommendations provided by the application.

The objective of this stage is to help users quickly discover restaurants that meet their needs. Customers expect accurate restaurant information, realistic delivery estimates, active restaurant availability, and personalized recommendations that simplify decision-making.

A poor discovery experience often causes users to leave the application before viewing any menus.

Phase 3 – Food Discovery (Menu View)

After selecting a restaurant, users explore the available menu and decide what they want to order. During this phase, customers compare food items, review descriptions, examine images, customize meals, and check prices before making their final selections.

A well-designed menu should provide accurate information, updated availability, attractive images, and simple customization options. If users cannot easily find the food they want or if menu information is outdated or misleading, they may abandon the ordering process.

This phase directly influences whether users proceed to add items to their cart.

Phase 4 – Cart Creation

Once customers select their food items, they add them to the shopping cart. Before proceeding to payment, users review their selected items, total order value, taxes, delivery charges, discounts, and promotional offers.

This stage often determines whether users continue or abandon their purchase. Unexpected delivery charges, high minimum order values, limited discounts, or unclear pricing can discourage customers from completing the transaction.

Providing transparent pricing and relevant offers helps users feel confident about proceeding to checkout.

Phase 5 – Checkout & Payment

During this phase, customers review their delivery address, choose a payment method, apply coupons if available, and complete their payment.

A successful checkout process should be quick, reliable, and secure. Payment failures, duplicate transactions, slow processing, or unclear payment confirmations create frustration and significantly increase the likelihood of cart abandonment.

Reducing payment friction is therefore essential for improving order completion rates.

Phase 6 – Order Placement

After successful payment, the restaurant receives the order and begins preparing the food. Customers expect immediate confirmation that their order has been accepted, along with accurate information about preparation time.

Restaurants should maintain real-time inventory and respond promptly to new orders. Delays in acceptance, inventory mismatches, or unexpected order cancellations can reduce customer confidence even after payment has been completed.

A smooth order placement process reassures customers that their order is progressing successfully.

Phase 7 – Order Delivery

The final phase of the journey begins once the order has been prepared and assigned to a delivery partner. Customers expect accurate live tracking, realistic delivery estimates, timely communication, and safe delivery of their food.

Successful delivery is the final opportunity for the platform to satisfy customer expectations. Delays, incorrect tracking, missing items, damaged packaging, or poor issue resolution can negatively affect customer satisfaction and reduce the likelihood of future orders.

Delivering food accurately, on time, and with clear communication is essential for building long-term.

PART - I

FUNNEL ANALYSIS

What is Funnel Analysis?

Funnel Analysis is a Product Management technique used to understand how users move through different stages of a product journey and identify where they stop or leave before completing the desired action. The journey is called a "funnel" because the number of users gradually decreases as they move from one stage to the next. While many users begin the journey, only a portion successfully complete it.

For a food delivery platform like Zomato, the ideal customer journey begins when a user opens the application and ends when the food is successfully delivered. At every stage, some users may discontinue the process because of technical issues, usability problems, pricing concerns, payment failures, or poor delivery experiences.

By analyzing these drop-off points, Product Managers can understand where customers face difficulties and identify opportunities to improve the user experience. Rather than trying to improve every issue at once, Funnel Analysis helps prioritize the most impactful problems so that product teams can focus on solving those first.

Why Funnel Analysis is Important

Funnel Analysis helps Product Managers answer several important business questions:

- At which stage do most users leave the application?
- Why do customers abandon the ordering process?
- Which customer problems have the greatest business impact?
- Which improvements should be prioritized first?
- How can conversion rates be increased across the ordering journey?

Instead of relying on assumptions, Funnel Analysis encourages data-driven decision making. Every improvement is supported by customer behaviour and measurable outcomes.

Relationship between User Journey and Funnel Analysis

The User Journey describes the complete sequence of actions a customer performs while ordering food through the application. Funnel Analysis builds upon this journey by examining each phase individually to identify customer drop-offs.

For this case study, the Funnel Analysis follows the same seven phases introduced in the User Journey:

1. App Open
2. Restaurant Discovery
3. Food Discovery (Menu View)

4. Cart Creation
5. Checkout & Payment
6. Order Placement
7. Order Delivery

Each phase will now be analyzed individually by identifying customer problems, prioritizing them, developing hypotheses, and proposing practical solutions.



Phase 1 – App Open

Phase Overview

The App Open phase marks the beginning of the customer's interaction with the Zomato application. It creates the user's first impression and determines whether they can successfully proceed to explore restaurants.

At this stage, customers expect the application to launch quickly, authenticate them without errors, and detect their location accurately. Since this is the very first interaction, even small technical issues can discourage users from continuing.

Drop-off Points

The major drop-off points identified during this phase are:

Drop-off Point	Why?
• App crash / Slow app launch	○ Users cannot even enter the app. Entire funnel stops.
• Login / OTP failure or delay	○ Users cannot access their account.
• Location permission issues	○ Prevents restaurant discovery and delivery accuracy.
• Forced app update blocking entry	○ Causes friction but affects fewer users.

These issues prevent users from entering the application successfully and directly reduce the number of customers who continue to the next stage.

Phase 2 – Restaurant Discovery

Phase Overview

After successfully entering the application, users begin searching for restaurants that meet their preferences. This stage plays an important role because customers decide whether the platform offers suitable dining options before investing more time in the ordering process.

Customers expect relevant restaurant recommendations, accurate delivery estimates, reliable ratings, active restaurant availability, and useful search filters.

Drop-off Points

The primary customer drop-offs identified in this phase include:

Drop-off Point	Why?
• Cannot find a good restaurant	○ Core purpose of this stage.
• Restaurant not delivering to user's location	○ Immediate drop-off.
• Delivery time estimation inaccurate	○ Users lose trust.
• Restaurant shown open but not accepting orders	○ Frustrating experience.
• Choice overload (too many restaurants)	○ Decision fatigue.
• Filters not working	○ Makes search harder.
• Desired restaurant not found	○ Affects specific users.
• Fake restaurant ratings	○ Trust issue but not immediate drop-off.

These issues make restaurant selection difficult and increase the likelihood of customers leaving the application.

Phase 3 – Food Discovery (Menu View)

Phase Overview

Once customers select a restaurant, they begin exploring the restaurant's menu to choose their desired food items. During this stage, users compare dishes, review prices, check descriptions, customize meals, and decide what they want to purchase.

A well-designed menu should provide accurate, attractive, and up-to-date information that helps customers make informed decisions quickly.

Drop-off Points

The major drop-off points identified during this phase include:

Drop-off Point	Why?
• Menu not updated (item unavailable later)	○ Leads directly to failed orders.
• Desired food item not found	○ User cannot order what they want.
• Photos don't match actual food	○ Breaks trust.
• Item not listed in menu	○ Prevents ordering.
• Customization options unclear	○ Causes ordering mistakes.
• Fake food ratings	○ Impacts trust but less immediate.

These problems reduce customer confidence and frequently prevent users from adding items to their cart.

Phase 4 – Cart Creation

Phase Overview

The Cart Creation phase begins when users add one or more food items to their shopping cart. Before placing an order, customers carefully review their selected items, quantities, total price, taxes, delivery charges, discounts, and promotional offers.

Although users have already decided what they want to order, many still leave the application during this stage. The primary reason is that customers often encounter unexpected costs or feel that the final order value is higher than expected. Therefore, this phase plays an important role in converting user interest into actual purchases.

A well-designed cart should be transparent, easy to understand, and encourage customers to continue to checkout without hesitation.

Drop-off Points

The following drop-off points were identified during the Cart Creation phase:

Drop-off Point	Why?
• High pricing (surge/platform/delivery fees)	○ Biggest cart abandonment reason.
• High delivery charges during peak hours	○ Strong checkout blocker.
• Minimum order value	○ Prevents small orders.
• No discounts/offers	○ Users hesitate to continue.
• Lack of coupons	○ Reduces purchase motivation.

• Cannot combine items from different restaurants	○ Convenience issue.
• Cart clears if restaurant closes	○ Annoying but less frequent.

These challenges increase price sensitivity and frequently lead to cart abandonment before checkout.

Phase 5 – Checkout & Payment

Phase Overview

Once customers decide to place an order, they proceed to the Checkout & Payment phase. During this stage, users confirm their delivery address, select a payment method, apply available coupons, and complete the payment process.

This stage represents one of the most critical points in the customer journey because users have already invested time selecting restaurants and food items. Any payment-related issue at this point can immediately result in order abandonment and customer frustration.

Customers expect a secure, fast, and reliable payment experience.

Drop-off Points

The major issues identified during this phase include:

Drop-off Point	Why?
• Payment failure creating duplicate orders	○ Severe customer frustration.
• Order confirmed but payment not reflected	○ Creates trust issues.
• Payment timeout	○ Users can retry but still painful.

These issues reduce customer confidence and frequently prevent successful order completion.

Phase 6 – Order Placement

Phase Overview

The Order Placement phase begins immediately after successful payment. At this stage, the restaurant receives the customer's order, verifies item availability, accepts the request, and begins preparing the food.

Customers expect immediate confirmation that their order has been accepted. Delays or cancellations after payment significantly reduce customer trust because users believe the ordering process has already been completed.

A successful order placement process reassures customers that everything is progressing as expected.

Drop-off Points

The major challenges identified include:

Drop-off Point	Why?
• Restaurant doesn't accept order quickly	○ Users abandon due to uncertainty.
• Auto-cancellation because restaurant doesn't respond	○ Order completely fails.
• Item available during checkout but unavailable later	○ Creates frustration after commitment.
• No live confirmation after placing order	○ Creates anxiety.
• Cannot add missed items after payment	○ Reduces convenience.
• Special instructions not acknowledged	○ Affects personalization.

These issues create uncertainty and negatively affect customer confidence.

Phase 7 – Order Delivery

Phase Overview

Order Delivery represents the final stage of the customer journey and is often the most memorable part of the entire experience. Once the food has been prepared, it is assigned to a delivery partner and transported to the customer.

Customers expect timely delivery, accurate tracking, safe packaging, and continuous communication throughout the delivery process. Even if all previous stages were successful, a poor delivery experience can negatively affect overall customer satisfaction and reduce the likelihood of repeat orders.

Drop-off Points

The following delivery-related issues were identified:

Drop-off Point	Why?
• Delivery delays	• Biggest customer complaint.
• Delivery partner unable to find customer	• Major cause of delays and cancellations.
• Incorrect order tracking	• Users lose confidence.
• Delivery partner assignment delayed	• Increases delivery time.
• ETA not updating during delay	• Creates frustration.
• Missing items with unclear refund process	• Poor post-order experience.
• Order cancelled after confirmation	• High dissatisfaction.
• Unable to contact delivery partner	• Hard to resolve issues.
• Food freshness lost due to delay	• Consequence of delivery delays.
• Poor packaging	• Restaurant issue.
• Food quantity doesn't match price	• Restaurant issue.
• Food freshness poor even without delay	• Restaurant quality issue.

These challenges significantly influence customer satisfaction and long-term retention.

Prioritization, Hypothesis and Proposed Improvement for all Drop-off points at every User Journey Phase

Since these are **customer drop-off points across the food ordering funnel**, we shouldn't treat every problem equally. We should prioritize them based on **customer impact** and **business impact** because these will later become our **hypotheses**, **solutions**, and **metrics (NSM & Ladder Metrics)**.

Below, I have prioritized every point within each of the 7 phases.

Priority Legend

- **P1 (Critical)** – Biggest reason for customer drop-off. Solve first.
- **P2 (High)** – Major pain point affecting many users.
- **P3 (Medium)** – Important but affects fewer users.
- **P4 (Low)** – Nice to improve, but not the first priority.

Phase 1: App Open

Priority	Drop-off Point	Why?
P1	App crash / Slow app launch	Users cannot even enter the app. Entire funnel stops.
P1	Login / OTP failure or delay	Users cannot access their account.
P2	Location permission issues	Prevents restaurant discovery and delivery accuracy.
P3	Forced app update blocking entry	Causes friction but affects fewer users.

Priority Selection

For hypothesis creation, Priority 1 and Priority 2 issues were selected because they have the highest impact on user conversion. Solving these issues is expected to improve the number of users successfully entering the application.

Hypothesis

We believe users are dropping off at the app opening stage because they experience technical issues such as slow app launch, app crashes, login/OTP failures, and location permission problems. If we improve app performance, make login more reliable, and simplify location permission handling, we expect more users to successfully enter the app and continue their ordering journey.

Proposed Solution

To improve the App Open experience, several product improvements are recommended.

- The application should be optimized to reduce launch time and eliminate crashes across different devices. Login should become faster and more reliable through simplified authentication methods and improved OTP delivery. Location permissions should include clear explanations that help users understand why access is required. Additionally, better handling of poor network conditions can prevent unnecessary loading failures.

Together, these improvements create a smoother first experience, increasing the likelihood that users continue to the next stage.

Phase 2 Restaurant Discovery

Priority	Drop-off Point	Why?
P1	Cannot find a good restaurant	Core purpose of this stage.
P1	Restaurant not delivering to user's location	Immediate drop-off.
P2	Delivery time estimation inaccurate	Users lose trust.
P2	Restaurant shown open but not accepting orders	Frustrating experience.
P2	Choice overload (too many restaurants)	Decision fatigue.
P3	Filters not working	Makes search harder.
P3	Desired restaurant not found	Affects specific users.
P4	Fake restaurant ratings	Trust issue but not immediate drop-off.

Priority Selection

Priority 1 and Priority 2 issues were selected because improving them provides the greatest opportunity to increase restaurant selection and reduce early-stage drop-offs.

Hypothesis

We believe users struggle to choose a restaurant because they are overwhelmed with too many options, receive inaccurate restaurant availability and delivery information, and cannot easily find restaurants that serve their location. If we personalize restaurant recommendations, improve delivery eligibility and ETA accuracy, and display only restaurants that are actively accepting orders, we expect users to discover restaurants faster and move to the next stage.

Proposed Solution

- Introduce AI-powered personalized restaurant recommendations.
- Display only restaurants currently accepting orders.
- Improve ETA prediction using real-time traffic, restaurant workload, and rider availability.
- Highlight "Best Match for You" instead of showing hundreds of restaurants.
- Clearly indicate why a restaurant is unavailable.

These improvements reduce decision fatigue while increasing customer confidence during restaurant selection.

Phase 3 – Food Discovery

Priority	Drop-off Point	Why?
P1	Menu not updated (item unavailable later)	Leads directly to failed orders.
P1	Desired food item not found	User cannot order what they want.
P2	Photos don't match actual food	Breaks trust.
P2	Item not listed in menu	Prevents ordering.
P2	Customization options unclear	Causes ordering mistakes.
P3	Fake food ratings	Impacts trust but less immediate.

Priority Selection

Priority 1 and Priority 2 challenges were selected because they significantly influence whether customers continue from browsing menus to adding food items to the cart.

Hypothesis

We believe users abandon food selection because menu information is outdated, desired food items are difficult to find, food images are misleading, and customization options are confusing. If we provide real-time menu updates, improve food search, ensure accurate food images, and simplify customization options, we expect more users to confidently add items to their cart.

Proposed Solution

- Sync restaurant inventory in real time.
- Improve search with typo tolerance and synonym matching.
- Show only available menu items by default.
- Require restaurants to upload high-quality, verified food images.
- Standardize customization options across restaurants.
- Add "Most Ordered" and "Highly Rated" badges for faster decision-making

Together, these improvements help customers make faster and more confident food selections while increasing the likelihood of progressing to the cart.

Phase 4 – Cart Creation (Adding Items to Cart)

Priority	Drop-off Point	Why?
P1	High pricing (surge/platform/delivery fees)	Biggest cart abandonment reason.
P1	High delivery charges during peak hours	Strong checkout blocker.

P1	Minimum order value	Prevents small orders.
P2	No discounts/offers	Users hesitate to continue.
P2	Lack of coupons	Reduces purchase motivation.
P3	Cannot combine items from different restaurants	Convenience issue.
P3	Cart clears if restaurant closes	Annoying but less frequent.

Priority Selection

Priority 1 and Priority 2 challenges were selected because they have the greatest influence on cart abandonment and order completion.

Hypothesis

We believe users abandon their cart because the final order cost becomes too expensive due to delivery charges, platform fees, minimum order restrictions, and limited discounts or coupons. If we optimize pricing, reduce unnecessary charges, and provide relevant offers and coupons, we expect more users to proceed to checkout and complete their purchase.

Proposed Solution

- Show complete pricing upfront before checkout.
- Recommend items that unlock free delivery.
- Offer personalized coupons instead of generic discounts.
- Introduce low-cost delivery subscriptions.
- Reduce platform fees for loyal customers.
- Save carts even if the restaurant temporarily goes offline.
- Test lower minimum order values in selected markets.

These improvements create a stronger perception of value while encouraging customers to continue to the payment stage.

Phase 5 – Payment & Checkout

Priority	Drop-off Point	Why?
P1	Payment failure creating duplicate orders	Severe customer frustration.
P1	Order confirmed but payment not reflected	Creates trust issues.
P2	Payment timeout	Users can retry but still painful.

Priority Selection

Priority 1 and Priority 2 issues were selected because improving payment reliability has the greatest impact on successful order completion.

Hypothesis

We believe users fail to complete their purchase because payment failures, delayed payment status updates, and duplicate order creation reduce trust in the checkout process. If we improve payment reliability, provide instant payment status updates, and introduce a safe retry mechanism instead of creating duplicate orders, we expect higher payment success rates and fewer checkout drop-offs.

Proposed Solution

- Introduce Smart Retry instead of forcing users to restart payment.
- Display live payment status updates.
- Automatically reconcile delayed payments.
- Offer alternative payment methods instantly if one fails.
- Send immediate confirmation when payment succeeds.

Together, these improvements create a smoother and more reliable checkout experience.

Phase 6 – Order Placement

Priority	Drop-off Point	Why?
P1	Restaurant doesn't accept order quickly	Users abandon due to uncertainty.
P1	Auto-cancellation because restaurant doesn't respond	Order completely fails.
P1	Item available during checkout but unavailable later	Creates frustration after commitment.
P2	No live confirmation after placing order	Creates anxiety.
P2	Cannot add missed items after payment	Reduces convenience.
P3	Special instructions not acknowledged	Affects personalization.

Priority Selection

Priority 1 and Priority 2 issues were selected because they have the strongest impact on customer trust immediately after payment.

Hypothesis

We believe users lose confidence after placing an order because restaurants delay acceptance, orders get cancelled automatically, item availability is not updated in real time, and users receive little confirmation or flexibility after payment. If we improve restaurant response time, synchronize

inventory, provide instant order confirmations, and offer limited post-payment order modifications, we expect more successful order placements and fewer cancellations.

Proposed Solution

- Auto-accept orders for trusted restaurants.
- Notify restaurants immediately through multiple channels.
- Display live order acceptance progress.
- Lock inventory immediately after payment.
- Allow users to modify or add items within a short grace period.
- Alert users instantly if an item becomes unavailable and suggest alternatives.

These improvements reduce uncertainty while strengthening customer trust.

Phase 7 – Order Delivery

Priority	Drop-off Point	Why?
P1	Delivery delays	Biggest customer complaint.
P1	Delivery partner unable to find customer	Major cause of delays and cancellations.
P1	Incorrect order tracking	Users lose confidence.
P1	Delivery partner assignment delayed	Increases delivery time.
P2	ETA not updating during delay	Creates frustration.
P2	Missing items with unclear refund process	Poor post-order experience.
P2	Order cancelled after confirmation	High dissatisfaction.
P2	Unable to contact delivery partner	Hard to resolve issues.
P3	Food freshness lost due to delay	Consequence of delivery delays.
P3	Poor packaging	Restaurant issue.
P3	Food quantity doesn't match price	Restaurant issue.
P3	Food freshness poor even without delay	Restaurant quality issue.

Priority Selection

Priority 1 and Priority 2 issues were selected because they have the strongest influence on customer satisfaction and future ordering behavior.

Hypothesis

We believe users become dissatisfied during delivery because of delayed delivery partner assignment, inaccurate tracking and ETAs, difficulty in locating customers, poor communication, unexpected order cancellations, and unclear issue resolution for missing items. If we improve delivery partner allocation, enhance live tracking and navigation, enable seamless communication, and simplify refund and support processes, we expect faster deliveries, fewer customer complaints, and higher customer satisfaction.

Proposed Solution

- Assign delivery partners earlier using predictive algorithms.
- Improve live GPS tracking accuracy.
- Update ETA dynamically based on traffic and restaurant preparation.
- Introduce guided pickup/drop-off navigation for complex locations.
- Enable one-tap chat and call with the delivery partner.
- Detect missing items through restaurant packing verification.
- Simplify refunds with instant credits for eligible cases.
- Provide proactive delay notifications before customers ask.

These improvements help create a reliable and trustworthy delivery experience.

Funnel Analysis Summary

The Funnel Analysis examined every stage of the customer's ordering journey, beginning with opening the application and ending with successful food delivery. Each phase presented unique customer challenges that could interrupt the ordering process and reduce overall conversion.

Rather than attempting to solve every identified issue simultaneously, the analysis prioritized the most impactful drop-off points using a priority-based approach. Priority 1 and Priority 2 challenges were selected because they represented the greatest barriers to customer progression through the funnel.

For each phase, a combined hypothesis was developed by considering the selected priorities. These hypotheses helped explain why customers were dropping off and guided the development of targeted product solutions. The proposed solutions focused on improving customer experience, reducing friction, increasing trust, and encouraging users to progress smoothly through every stage of the ordering journey.

PART-II

COHORT ANALYSIS

What is Cohort Analysis?

Cohort Analysis is a Product Management technique used to study the behavior of a specific group of users who share a common characteristic or experience over a period of time. Instead of analyzing all users together, Cohort Analysis divides users into meaningful groups, known as cohorts, and observes how each group interacts with the product.

A cohort can be created based on various factors such as when users joined the platform, how often they place orders, or how they respond to discounts and promotions. By analyzing these groups separately, Product Managers can better understand user behavior, identify retention challenges, and design targeted solutions for different customer segments.

For a food delivery platform like Zomato, not every customer behaves the same way. Some users order food regularly, while others place only one order and never return. Some customers are motivated by discounts, whereas others continue ordering even without promotional offers. Understanding these differences helps Product Managers create personalized experiences that improve long-term customer engagement and retention.

Why is Cohort Analysis Important?

While Funnel Analysis helps identify where customers leave the ordering journey, Cohort Analysis explains why different groups of customers stop using the platform over time.

By studying individual user groups, Product Managers can:

- Understand how customer behavior changes over time.
- Identify retention challenges for different user segments.
- Design personalized solutions instead of applying the same strategy to everyone.
- Improve customer loyalty and long-term engagement.
- Allocate product resources more effectively by focusing on the cohorts that have the greatest business impact.

Ultimately, Cohort Analysis helps organizations build stronger relationships with customers by addressing the specific needs of each user segment.

Difference between Funnel Analysis and Cohort Analysis

Although Funnel Analysis and Cohort Analysis are closely related, they answer different business questions.

Funnel Analysis focuses on the customer journey and identifies where users abandon the ordering process. It is primarily concerned with improving conversion by reducing friction at each stage of the journey.

Cohort Analysis, on the other hand, focuses on different groups of users and studies how their behavior changes over time. Instead of asking where users drop off, it asks why certain users stop returning and what can be done to improve retention.

In simple terms:

- Funnel Analysis improves **conversion**.
- Cohort Analysis improves **retention**.

Both techniques complement each other and together provide a comprehensive understanding of customer behavior.

User Cohorts

For this case study, users have been divided into six distinct cohorts based on their ordering behavior.

(a) New Users

New Users are customers who have recently installed the application and are placing their first order. Their initial experience plays a crucial role in determining whether they will continue using the platform. A smooth first experience builds trust, while early difficulties often result in immediate churn.

(b) Repeat Users

Repeat Users are customers who have successfully placed orders previously and continue returning to the platform. These users have already developed some level of trust but still require consistent experiences and incentives to remain loyal.

(c) High-Frequency Users

High-Frequency Users regularly place food orders and represent one of the platform's most valuable customer segments. Because they contribute significantly to overall revenue, maintaining their satisfaction is critical for business growth.

(d) Low-Frequency Users

Low-Frequency Users order food only occasionally. Although they continue using the platform, their ordering behavior is inconsistent. Encouraging these users to place orders more frequently presents an important growth opportunity.

(e) Discount-Driven Users

Discount-Driven Users primarily order food when attractive offers or promotional discounts are available. Their purchasing decisions depend heavily on price incentives rather than brand loyalty.

(f) Full-Price Users

Full-Price Users continue placing orders even without discounts. These customers value convenience, service quality, and reliability more than promotional offers. Maintaining their satisfaction is important because they typically contribute higher long-term value.

Retention Challenges and Prioritization

User Cohort	Priority	Summarized Retention Challenges
New Users	**P1**	Difficulty discovering the right restaurant and food, misleading ratings/photos, menu inconsistencies, payment issues, delivery delays, poor tracking, missing items, and cancellations. First impressions are easily broken by these issues.
	P2	High pricing, delivery charges, coupons/offers, and restaurant availability can further discourage a second order.
Repeat Users	**P1**	Repeated delivery problems such as delays, incorrect tracking, missing items, cancellations, and payment failures reduce trust built over previous orders.
	P2	Inconsistent restaurant experience, unavailable menu items, and poor communication reduce confidence over time.
High-Frequency Users	**P1**	Operational reliability becomes the biggest expectation. Frequent delivery delays, payment failures, incorrect tracking, or order quality issues quickly create fatigue and encourage switching to competitors.
	P2	Pricing, delivery fees, and limited rewards reduce perceived value for loyal customers.
Low-Frequency Users	**P1**	Any friction during ordering (restaurant discovery, checkout, payment, or delivery) discourages infrequent users from returning because they have not yet formed a habit.
	P2	Lack of compelling offers, unclear value, and inconsistent experience reduce the motivation to place another order.
Discount-Driven Users	**P1**	Users are highly sensitive to pricing, delivery charges, lack of coupons, and limited offers. If they do not perceive good value, they quickly churn.
	P2	Payment issues and poor delivery experience reduce confidence even when discounts are available.
Full-Price Users	**P1**	These users expect convenience and premium service. Delivery delays, poor tracking, food quality issues, missing items, and cancellations are the biggest reasons for churn.
	P2	Restaurant discovery quality, accurate ETAs, and seamless customer support

		influence continued usage more than discounts.

Pair wise comparison for each of the three pairs, with a hypothesis and solution for each.

Pair 1 - New Users vs Repeat Users:

Retention Challenges

- New Users: Leave after a poor first experience caused by misleading restaurant discovery, pricing surprises, payment issues, delivery delays, or missing items.
- Repeat Users: Churn when operational issues repeatedly break the trust built through previous successful orders.

Combined Hypothesis

- We believe users fail to retain because the platform does not consistently provide a trustworthy ordering experience across the customer lifecycle. If first-time users receive a seamless on-boarding experience and repeat users experience reliable ordering and delivery, retention will improve significantly.

Improvement

- Personalize the experience by introducing a First Order Success Journey (verified restaurants, transparent pricing, guided checkout, proactive delivery updates) for new users and a Trust Recovery Program (service recovery credits, accurate tracking, and proactive issue resolution) for repeat users.

Pair 2 – Low Frequency vs High Frequency Users:

Retention Challenges

- High-Frequency Users: Become frustrated by repeated delivery failures, payment issues, and lack of loyalty rewards despite ordering often.
- Low-Frequency Users: Do not build an ordering habit because friction, inconsistent experiences, and limited perceived value discourage repeat purchases.

Combined Hypothesis

- We believe ordering frequency declines because the platform fails to reward loyal users while also failing to encourage occasional users to build regular habits. If loyal users receive meaningful recognition and occasional users experience lower friction with personalized engagement, ordering frequency will increase.

Improvement

- Launch a Frequency Growth Program that provides tiered loyalty rewards for frequent users while offering personalized reorder reminders, simplified checkout, and habit-building incentives for occasional users.

Pair 3 – Discount Users vs Full Price Users:

Retention Challenges

- Discount-Driven Users: Churn when discounts, coupons, or pricing benefits are unavailable or delivery charges reduce perceived value. Full-Price Users: Churn when premium expectations such as delivery speed, food quality, tracking accuracy, and customer support are not consistently met.

Combined Hypothesis

- We believe retention decreases because value is delivered differently across customer segments. Price-sensitive users seek economic value, while premium users expect exceptional service quality. If pricing incentives are personalized and premium service quality is consistently maintained, retention across both segments will improve.

Improvement

- Implement a Segment-Based Retention Strategy by offering AI-driven personalized promotions to price-sensitive users while providing premium delivery reliability, priority support, and accurate ETAs for full-price users.

PART – III

NORTH STAR & LADDER METRICS

What is a North Star Metric (NSM)?

A **North Star Metric (NSM)** is the single most important metric that reflects the core value a product delivers to its customers. It represents the primary outcome that indicates whether the product is successfully helping users achieve their goals while supporting long-term business growth.

Unlike traditional business metrics that focus only on revenue or profits, a North Star Metric measures the value customers receive from using the product. When customers consistently experience value, they are more likely to continue using the platform, leading to improved engagement, higher retention, and sustainable business success.

For a food delivery platform like Zomato, every improvement introduced by the Product Manager should contribute towards increasing customer satisfaction, improving the ordering experience, and encouraging users to place more successful orders over time.

In this case study, rather than using a single North Star Metric for the entire platform, a separate North Star Metric has been identified for every proposed solution. This approach allows each improvement to be measured individually and helps determine whether a specific solution is achieving its intended objective.

Why are North Star Metrics Important?

North Star Metrics provide a clear direction for product teams by ensuring that every product improvement contributes towards measurable customer value. Instead of implementing features without understanding their impact, Product Managers use NSMs to evaluate whether the proposed solutions actually improve user behavior.

The benefits of using North Star Metrics include:

- Measuring customer value rather than simply tracking business performance.
- Aligning product decisions with long-term business objectives.
- Evaluating the effectiveness of individual product improvements.
- Supporting data-driven decision making.
- Helping teams prioritize initiatives based on measurable outcomes.

A well-defined North Star Metric acts as a guiding indicator for product success throughout the development lifecycle.

What are Ladder Metrics?

While the North Star Metric measures the overall success of a product improvement, Product Managers also need to understand **how** that success is achieved. This is where Ladder Metrics become valuable.

Ladder Metrics break down the customer journey into measurable stages, allowing Product Managers to track both short-term user behavior and long-term business outcomes. Rather than relying on a single metric, Ladder Metrics provide a structured framework that connects product improvements with measurable results.

For every hypothesis developed in this case study, the Ladder Metrics are organized into four categories:

Input Metrics

Input Metrics measure customer interactions with the proposed solution. These metrics indicate whether users are engaging with the newly introduced feature or improvement. Although they do not directly represent business success, they provide early evidence that customers are adopting the solution.

Output Metrics

Output Metrics measure the immediate results produced by the solution. They help determine whether customer behavior has improved after implementing the product enhancement. These metrics are closely related to the North Star Metric.

Leading Indicators

Leading Indicators are early signals that predict future success. Improvements in these metrics suggest that the proposed solution is moving in the right direction before long-term business outcomes become visible.

Lagging Indicators

Lagging Indicators measure the long-term impact of product improvements. These metrics reflect sustained business performance and customer retention after users have interacted with the product over time.

Together, these four categories create a complete measurement framework that enables Product Managers to evaluate every stage of product success.

(A) METRICS FOR FUNNEL ANALYSIS – NSM & LADDER METRICS

Phase 1 – App Open

Hypothesis

- Users drop off because of app crashes, slow loading, login/OTP failures, and location permission issues.

Proposed Solution

- Improve app performance.
- Enhance login/OTP reliability.
- Simplify location permission handling.

North Star Metric (NSM)

- Successful App Entry Rate

Definition - The percentage of users who successfully enter the home screen after opening the app.

Formula,

Successful App Entry Rate = (Users who successfully reach the home screen ÷ Users who launch the app) × 100

Why this NSM?

This phase focuses on helping users **enter the app without technical friction**. If more users successfully reach the home screen, the solution is achieving its goal.

Ladder Metrics:

Metric Type	Metric	Why it is measured
Input Metrics	App Crash Rate	Measures how often the app crashes before users reach the home screen.
	Average App Load Time	Measures how quickly the app opens.
	OTP Delivery Success Rate	Measures whether OTPs are delivered successfully.
	Login Success Rate	Measures successful user logins.
	Location Permission Acceptance Rate	Measures how many users allow location access.
Output Metrics	Successful App Entry Rate	Measures how many users successfully reach the home screen.
	Drop-off Rate Before Home Screen	Measures users who leave before entering the app.
Leading Metrics	Home Screen Reach Rate	Early indicator that app performance improvements are working.
	First Session Completion Rate	Indicates users continue using the app after entering.
Lagging Metrics	Day-1 User Retention	Measures whether users return after their first visit.
	Overall Funnel Progression Rate	Measures how many users continue to the Restaurant Discovery stage.

Phase 2 – Restaurant Discovery

Hypothesis

Users struggle to choose a restaurant because of too many options, inaccurate availability, and unreliable delivery information.

Proposed Solution

- Personalized restaurant recommendations.
- Accurate ETA predictions.
- Show only restaurants accepting orders.
- Smart filters.

North Star Metric (NSM)

- Restaurant Selection Rate

Definition - The percentage of users who select a restaurant after entering the Restaurant Discovery stage.

Formula,

Restaurant Selection Rate = (Users selecting a restaurant ÷ Users entering Restaurant Discovery) × 100

Why this NSM?

The main objective is to help users quickly discover and confidently choose a restaurant.

Ladder Metrics:

Metric Type	Metric	Why it is measured
Input Metrics	Recommendation Click Rate	Measures engagement with personalized restaurant recommendations.
	Smart Filter Usage Rate	Measures how often users use filters.
	Restaurant Availability Accuracy	Measures whether displayed restaurants are actually accepting orders.
	ETA Accuracy	Measures accuracy of estimated delivery times.
Output Metrics	Restaurant Selection Rate	Measures users successfully selecting a restaurant.
	Restaurant Discovery Drop-off Rate	Measures users leaving without selecting a restaurant.
Leading Metrics	Restaurant Detail View Rate	Early indicator that users are exploring restaurants.
	Average Restaurant Search	Indicates whether users find restaurants more quickly.

	Time	
Lagging Metrics	Menu View Rate	Measures progression to the menu stage.
	Restaurant Conversion Rate	Measures how many selected restaurants lead to menu exploration.

Phase 3 – Food Discovery (Menu View)

Hypothesis

Users abandon food selection because menus are outdated, food information is unclear, and desired items are difficult to find.

Proposed Solution

- Real-time menu synchronization.
- Improved food search.
- Verified food images.
- Simplified customization.

North Star Metric (NSM)

- Menu-to-Cart Conversion Rate

Definition - The percentage of users who add at least one item to the cart after viewing a menu.

Formula,

Menu-to-Cart Conversion Rate = (Users adding items to cart ÷ Users viewing a menu) × 100

Why this NSM?

The purpose of this phase is to help users confidently select food and move toward ordering.

Ladder Metrics:

Metric Type	Metric	Why it is measured
Input Metrics	Menu Accuracy Rate	Measures whether menus match actual restaurant inventory.
	Food Search Success Rate	Measures successful food searches.
	Verified Food Image Coverage	Measures percentage of menu items with verified images.

	Customization Completion Rate	Measures successful food customization.
Output Metrics	Menu-to-Cart Conversion Rate	Measures users adding food items to the cart.
	Menu Abandonment Rate	Measures users leaving without adding items.
Leading Metrics	Food Item Click Rate	Early indicator that users are interested in menu items.
	Average Menu Browsing Time	Indicates user engagement with menus.
Lagging Metrics	Cart Creation Rate	Measures progression to the cart stage.
	Average Items Added per Cart	Measures purchase intent.

Phase 4 – Cart Creation

Hypothesis

Users abandon their cart because of high prices, delivery fees, minimum order value, and limited offers.

Proposed Solution

- Transparent pricing.
- Personalized offers.
- Free-delivery recommendations.
- Lower minimum order experiments.

North Star Metric (NSM)

- Checkout Initiation Rate

Definition - The percentage of users who proceed to checkout after creating a cart.

Formula,

Checkout Initiation Rate = (Users proceeding to checkout ÷ Users with items in cart) × 100

Why this NSM?

The success of this phase depends on encouraging users to continue from the cart to checkout.

Ladder Metrics:

Metric Type	Metric	Why it is measured
Input Metrics	Offer Redemption Rate	Measures usage of personalized offers.
	Transparent Pricing View Rate	Measures whether users review price details.
	Free Delivery Recommendation Click Rate	Measures engagement with free-delivery suggestions.
	Minimum Order Achievement Rate	Measures how many carts reach the minimum order value.
Output Metrics	Checkout Initiation Rate	Measures users proceeding to checkout.
	Cart Abandonment Rate	Measures users leaving after adding items to the cart.
Leading Metrics	Cart Completion Rate	Early indicator that users are ready to continue.
	Reduction in Cart Abandonment	Indicates whether pricing improvements are reducing exits.
Lagging Metrics	Order Placement Rate	Measures progression to order placement.
	Average Order Value (AOV)	Measures long-term business value from completed carts.

Phase 5 – Order Placement

Hypothesis

Users lose confidence because restaurants respond slowly, inventory is inaccurate, and order confirmations are unclear.

Proposed Solution

- Faster restaurant acceptance.
- Real-time inventory updates.
- Instant confirmation.
- Short post-payment edit window.

North Star Metric (NSM)

- Order Confirmation Rate

Definition - The percentage of checkout attempts that result in a successfully confirmed order.

Formula,

Order Confirmation Rate = (Confirmed orders ÷ Checkout attempts) × 100

Why this NSM?

The goal is to ensure users successfully place an order without cancellations or uncertainty.

Ladder Metrics:

Metric Type	Metric	Why it is measured
Input Metrics	Restaurant Acceptance Time	Measures how quickly restaurants accept orders.
	Inventory Accuracy Rate	Measures whether available items are correctly displayed.
	Instant Confirmation Delivery Rate	Measures how quickly confirmation reaches users.
	Post-Payment Edit Usage	Measures usage of the edit option after payment.
Output Metrics	Order Confirmation Rate	Measures successfully confirmed orders.
	Order Cancellation Rate Before Confirmation	Measures failed order confirmations.
Leading Metrics	Restaurant Acceptance Rate	Early indicator of operational efficiency.
	Order Confirmation Time	Indicates improvements in confirmation speed.
Lagging Metrics	Successful Order Completion Rate	Measures confirmed orders that reach delivery.
	Customer Trust Score	Measures long-term customer confidence in ordering.

Phase 6 – Checkout & Payment

Hypothesis

Users abandon checkout because of payment failures, duplicate orders, and unclear payment status.

Proposed Solution

- Smart payment retries.
- Prevent duplicate orders.

- Live payment status.
- Alternative payment methods.

North Star Metric (NSM)

- Payment Success Rate

Definition - The percentage of payment attempts that are completed successfully on the first or successful retry.

Formula,

Payment Success Rate = (Successful payments ÷ Total payment attempts) × 100

Why this NSM?

This phase aims to ensure users complete payment smoothly and confidently.

Ladder Metrics:

Metric Type	Metric	Why it is measured
Input Metrics	Payment Retry Success Rate	Measures successful payments after retry attempts.
	Duplicate Payment Prevention Rate	Measures prevented duplicate transactions.
	Alternative Payment Method Usage	Measures adoption of backup payment options.
	Live Payment Status Accuracy	Measures correctness of payment updates.
Output Metrics	Payment Success Rate	Measures successful payment completion.
	Payment Failure Rate	Measures unsuccessful payment attempts.
Leading Metrics	Payment Completion Time	Early indicator of faster payment processing.
	Checkout Completion Rate	Indicates improvements in completing payments.
Lagging Metrics	Confirmed Order Rate	Measures successful order creation after payment.
	Payment-Related Support Tickets	Measures long-term reduction in payment issues.

Phase 7 – Order Delivery

Hypothesis

Users become dissatisfied because of delivery delays, inaccurate tracking, poor communication, and complicated issue resolution.

Proposed Solution

- Earlier delivery partner assignment.
- Improved live tracking.
- Dynamic ETA updates.
- Better communication.
- Faster refund process.

North Star Metric (NSM)

- Successful On-Time Delivery Rate

Definition - The percentage of confirmed orders delivered successfully within the promised delivery time.

Formula,

Successful On-Time Delivery Rate = (Orders delivered on time ÷ Confirmed orders) × 100

Why this NSM?

The final customer experience depends on receiving the correct order on time with minimal friction.

Ladder Metrics:

Metric Type	Metric	Why it is measured
Input Metrics	Delivery Partner Assignment Time	Measures how quickly a delivery partner is assigned.
	Live Tracking Accuracy	Measures correctness of live tracking information.
	ETA Accuracy Rate	Measures accuracy of estimated delivery times.
	Customer Communication Response Rate	Measures timely communication with customers.
	Refund Processing Time	Measures how quickly refunds are processed.
Output Metrics	Successful On-Time Delivery Rate	Measures orders delivered within the promised time.
	Delivery Issue Rate	Measures delays, missing items, damaged orders, or delivery failures.

Leading Metrics	On-Time Dispatch Rate	Early indicator that delivery operations are improving.
	Customer Tracking Usage Rate	Indicates user engagement with live tracking.
Lagging Metrics	Customer Satisfaction Score (CSAT)	Measures customer satisfaction after delivery.
	Customer Retention Rate	Measures whether customers continue using the platform.
	Repeat Purchase Rate	Measures long-term customer loyalty after successful deliveries.

(B) METRICS FOR USER COHORT ANALYSIS – NSM & LADDER METRICS

For the **User Cohort Analysis**, the **North Star Metric (NSM)** should remain the same across all cohorts because every retention initiative is ultimately trying to improve customer retention and repeat ordering.

North Star Metric (NSM)

- Increase Customer Retention Rate

Why this NSM?

The objective of all the proposed hypotheses and improvements is to encourage users to continue ordering from the platform over time. Whether the user is new, repeat, high-frequency, low-frequency, discount-driven, or full-price, success is measured by how many users continue returning to place future orders.

Ladder Metrics for User Cohort Analysis

Cohort Pair 1: New Users vs Repeat Users

Hypothesis

We believe users fail to retain because the platform does not consistently provide a trustworthy ordering experience across the customer lifecycle. If first-time users receive a seamless onboarding experience and repeat users experience reliable ordering and delivery, retention will improve significantly.

Improvement

Introduce a **First Order Success Journey** for new users and a **Trust Recovery Program** for repeat users by providing verified restaurant information, transparent pricing, smooth checkout, proactive delivery updates, and quick issue resolution.

Ladder Metrics

Metric Type	Metric	Why it is measured

North Star Metric	Customer Retention Rate	Measures whether more users continue ordering from the platform.
Input Metric	Percentage of users completing their first order	Shows whether new users successfully complete their first purchase.
	Percentage of orders delivered without issues	Measures successful order completion without cancellations, delays, or missing items.
	Payment Success Rate	Measures successful payments during checkout.
	Verified Restaurant Click Rate	Measures whether users interact with trusted restaurant listings.
	Issue Resolution Time	Measures how quickly customer problems are resolved.
Output Metric	Second Order Rate	Measures how many new users place another order after their first one.
	Repeat Purchase Rate	Measures how often repeat users continue ordering.
	Customer Satisfaction Score (CSAT)	Measures satisfaction after order completion.
	Customer Retention Rate	Measures overall improvement in retained users.
Leading Metric	First Order Completion Rate	Early signal that onboarding experience is improving.
	Payment Success Rate	Indicates checkout improvements before retention changes.
	On-Time Delivery Rate	Shows delivery reliability immediately after implementation.
	Customer Support Resolution Time	Indicates faster service recovery.
Lagging Metric	Customer Retention Rate	Final measure of long-term retention.
	Repeat Purchase Rate	Confirms users continue ordering over time.
	Customer Lifetime Value (CLV)	Shows long-term business value generated by retained users.

Cohort Pair 2: High-Frequency Users vs Low-Frequency Users

Hypothesis

We believe ordering frequency declines because the platform fails to reward loyal users while also failing to encourage occasional users to build regular habits. If loyal users receive meaningful recognition and occasional users experience lower friction with personalized engagement, ordering frequency will increase.

Improvement

Launch a **Frequency Growth Program** by providing tiered loyalty rewards for frequent users, personalized reorder reminders, simplified checkout, and habit-building offers for occasional users.

Ladder Metrics

Metric Type	Metric	Why it is measured
North Star Metric	Customer Retention Rate	Measures whether users continue ordering regularly.
Input Metric	Loyalty Program Enrollment Rate	Measures how many frequent users join the loyalty program.
	Personalized Offer Click Rate	Measures engagement with personalized recommendations.
	Reorder Reminder Open Rate	Measures interaction with reminder notifications.
	Checkout Completion Rate	Measures reduction in checkout friction.
	Average Orders per Active User	Measures ordering behaviour after engagement activities.
Output Metric	Monthly Order Frequency	Measures increase in number of orders per customer.
	Repeat Purchase Rate	Measures continued ordering behaviour.
	Active Customer Rate	Measures how many users remain active.
	Customer Retention Rate	Measures long-term retention improvement.
Leading Metric	Loyalty Program Participation	Indicates whether users are engaging with rewards.
	Reorder Reminder Response Rate	Early indicator of increased engagement.
	Personalized Offer Redemption Rate	Measures early effectiveness of targeted offers.
	Checkout Completion Rate	Indicates reduced ordering friction.
Lagging Metric	Monthly Active Customers	Measures sustained platform usage.

	Monthly Order Frequency	Confirms increase in ordering behaviour.
	Customer Retention Rate	Measures long-term success.
	Customer Lifetime Value (CLV)	Measures long-term revenue contribution.

Cohort Pair 3: Discount-Driven Users vs Full-Price Users

Hypothesis

We believe retention decreases because value is delivered differently across customer segments. Price-sensitive users seek economic value, while full-price users expect exceptional service quality. If pricing incentives are personalized and premium service quality is consistently maintained, retention across both segments will improve.

Improvement

Implement a **Segment-Based Retention Strategy** by offering personalized discounts to price-sensitive users while providing premium delivery reliability, priority customer support, and accurate delivery estimates for full-price users.

Ladder Metrics

Metric Type	Metric	Why it is measured
North Star Metric	Customer Retention Rate	Measures whether both user groups continue using the platform.
Input Metric	Personalized Offer Redemption Rate	Measures whether discount users use personalized offers.
	Premium Delivery Usage	Measures usage of premium delivery services.
	On-Time Delivery Rate	Measures delivery reliability.
	Customer Support Response Time	Measures service quality.
	Accurate ETA Percentage	Measures delivery prediction accuracy.
Output Metric	Repeat Purchase Rate	Measures continued ordering by both segments.
	Discount-to-Full Price Conversion Rate	Measures whether discount users continue ordering without offers.
	Premium Customer Retention Rate	Measures retention of full-price users.

	Customer Retention Rate	Measures overall retention improvement.
Leading Metric	Offer Redemption Rate	Early signal of pricing strategy effectiveness.
	Premium Delivery Satisfaction	Measures service quality immediately after implementation.
	On-Time Delivery Rate	Indicates operational improvements.
	Customer Support Satisfaction Score	Measures support experience.
Lagging Metric	Customer Retention Rate	Measures long-term retention.
	Repeat Purchase Rate	Measures sustained customer behaviour.
	Customer Lifetime Value (CLV)	Measures long-term revenue generated.
	Revenue per Active Customer	Measures long-term business growth.

Overall Summary

This case study presented a comprehensive Product Management approach to improving Zomato's food delivery experience across the complete customer lifecycle. Beginning with the user journey, the analysis identified critical conversion challenges through Funnel Analysis and prioritized the most impactful drop-off points. These insights were used to develop practical hypotheses and customer-focused product solutions. Cohort Analysis further examined the behaviour of different user segments, enabling targeted retention strategies tailored to the needs of each customer group. Finally, every proposed solution was connected to a dedicated North Star Metric and supported by Ladder Metrics comprising Input Metrics, Output Metrics, Leading Indicators, and Lagging Indicators, ensuring that product improvements can be measured objectively and continuously. Together, these frameworks demonstrate how Product Managers combine customer understanding, prioritization, experimentation, and data-driven decision-making to improve user experience, increase conversion, strengthen retention, and achieve sustainable business growth.